

OCR

Oxford Cambridge and RSA Examinations

GCSE

Economics

J205/02: National and international economics

General Certificate of Secondary Education

Mark Scheme — Predicted Paper (Hard)

Total marks: 80

MARKING INSTRUCTIONS

Preparation for marking

- Read and understand the mark scheme and the question paper before marking.
- Mark strictly to the mark scheme; marks awarded must relate directly to the marking criteria.
- If in doubt about applying the mark scheme, consult your Team Leader.
- Where a candidate has crossed out a response and provided a clear alternative, the crossed-out response is not marked. Where no alternative is provided, examiners may give candidates the benefit of the doubt and mark the crossed-out response where legible.

Multiple-choice question responses (Section A)

- Where a candidate provides two responses (even if one is correct) no mark is awarded, as the first response cannot be determined.
- Contradictory responses receive no mark even if one is correct.

Levels of response (Section B extended items)

- Determine the level first: start at the highest level and work down until you reach the level that matches the answer.
- Determine the mark within the level using the best-fit approach: top of level = consistently meets the criteria; bottom of level = on the borderline of this level and the one below.
- For questions marked with an asterisk (*) Quality of Extended Response is assessed: credit is given for coherent, well-structured and logically sequenced reasoning.

Annotations

- ✓ Tick — point worthy of credit
- X Cross — incorrect / not creditworthy
- BOD** Benefit of the doubt
- IR** Irrelevant
- L1 / L2 / L3** Level one / two / three
- TV** Too vague
- NAQ** Not answered question
- SEEN** Noted but no credit given
- OFR** Own figure rule applied
- BP** Blank page

Subject-specific level descriptors

The following descriptors are applied to all level-marked questions in Section B in the Question | Answer | Mark | Guidance tables that follow.

Level descriptor	Knowledge & understanding	Application	Analysis	Evaluation
Good	Good knowledge and understanding of the theory. All terms/concepts are explicitly or implicitly understood.	Good application to the scenario. Terms/concepts are used/adapted in the context. Good understanding of all the relevant elements.	Good analysis through developed links and a clear chain of reasoning that addresses the question. Any diagrams are predominantly correct and linked to the analysis.	Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / comparing alternatives.
Reasonable	Reasonable knowledge and understanding. Most terms/concepts are understood.	Reasonable application. Terms/concepts are used/adapted in the context with some understanding of relevant elements.	Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning.	Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but not fully supported.
Limited	Limited knowledge and understanding. Some terms/concepts are understood.	Limited application. An attempt to use/adapt terms/concepts in the context.	Limited analysis with an attempt at a single effect that has some link to the question.	Limited evaluation with an incomplete consideration of arguments / alternatives and unsupported statements.

SECTION A

Question	Key	AO	Quantitative skills
1	B	AO1b	
2	C	AO1b	
3	B	AO2	Yes
4	C	AO1b	
5	B	AO2	Yes
6	C	AO1b	
7	B	AO2	
8	B	AO2	Yes
9	A	AO1a	
10	B	AO1b	
11	D	AO1b	
12	B	AO1b	
13	B	AO2	Yes
14	C	AO1b	
15	C	AO1b	
16	B	AO1b	
17	B	AO1a	
18	A	AO2	Yes
19	B	AO1b	
20	A	AO1a	

SECTION B

Question	Answer	Mark	Guidance
21 (a)	Using Extract 1, explain the change in UK real wages between 2021 and 2022. Answers may include: Real wages fell between 2021 and 2022 [1] because inflation (9.1%) rose faster than nominal wage growth (6.0%), producing real wage growth of -2.8% [1].	2 AO2	1 mark for identifying the fall in real wages. 1 mark for supporting with the data from the extract. Max 2 marks.

Question	Answer	Mark	Guidance
21 (b)	Using Extract 1, calculate the approximate real wage growth in a year when nominal wages grow by 4.5% and inflation is 6.0%. Show your working. Working: Real wage growth $\approx$ nominal wage growth – inflation rate $= 4.5 - 6.0 = -1.5$ percentage points Answer: -1.5% (accept a fall of 1.5 percentage points).	2 AO2	2 marks for the correct answer (working not required). 1 mark for correct method but incorrect final value. Accept equivalent formulations (e.g. 'real wages fall by about 1.5%').

Question	Answer	Mark	Guidance
21 (c)	Using the information in Extract 1, analyse how a period of stagnant real wages is likely to affect aggregate demand in the UK economy. Knowledge and understanding: • real wages = nominal wages adjusted for inflation • $AD = C + I + G + X - M$ • consumption depends on disposable income and consumer confidence Reference to the extract: • real wages fell in 2022 and were flat in 2023 • lowest-income households face higher effective inflation • the squeeze is most severe for low-income renters Development of reasoning: • stagnant real wages $\rightarrow$ flat or falling real disposable income $\rightarrow$ lower consumer spending (C) • falling confidence and precautionary saving $\rightarrow$ further fall in C • firms expecting weaker demand $\rightarrow$ reduce investment (I) • weaker UK incomes $\rightarrow$ lower imports (M), partially offsetting the fall in AD • distributional effect: low-income households cut spending sharply; higher-income households may cut less >> overall AD is likely to be weaker than trend.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach. All level descriptors describe the TOP of the level.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the

Question	Answer	Mark	Guidance
			form of single effects that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit. N.B. To reach Level 3 there must be reference to the data or context in Extract 1.

Question	Answer	Mark	Guidance
21 (d) (i)	Explain what is meant by 'labour productivity'. Output per worker [1] per hour (or per period of time) [1]. Accept: • output per unit of labour input • total output divided by hours worked / workers employed	2 AO1b	1 mark for 'output per worker' / 'output per unit of labour'. 2 marks for a fully expressed definition including a time reference (per hour / per period).

Question	Answer	Mark	Guidance
21 (d) (ii)	State two supply-side policies that could raise UK labour productivity. 1. Education and training / apprenticeships 2. Investment in infrastructure (transport, digital) 3. Tax incentives for R&D / business investment 4. Reducing labour-market regulation to raise labour mobility 5. Subsidies to encourage automation / technological upgrading	2 AO1a	1 mark for each correct policy, up to 2 marks.

Question	Answer	Mark	Guidance
21 (d) (iii)*	Evaluate the extent to which lower-income households are more harmed than higher-income households by a period of high inflation. Use the information given in Extract 1 and your own knowledge. Reference to Extract 1 or context: • low-income households faced effective inflation rates several percentage points above the headline CPI • UK real wages fell or were flat in 2022 and 2023 • UK productivity growth has been very weak since	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach. Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects

Question	Answer	Mark	Guidance
	2008 Reasons low-income households are harmed more: • larger share of budget on essentials (food, energy, rent) — exactly the items with biggest price rises • less savings / financial buffer to absorb price shocks • more likely to rent → exposed to rising rents • fixed incomes (e.g. some benefits) may lag inflation • less access to fixed-rate mortgages and assets that preserve real value Offsetting factors / reasons higher-income households also suffer: • higher-income households may have larger mortgage balances → large absolute rise in payments when rates rise • higher earners pay more income tax, which is not uprated fully with inflation (fiscal drag) • asset prices can fall in real terms during high inflation • government support is typically targeted at low-income households Final judgement may consider: • time horizon: short-term pain vs long-term recovery • type of inflation (demand-pull vs cost-push) • distributional effectiveness of government policy • the role of the National Living Wage and benefit uprating		that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
22 (a)	Using Extract 2, explain what the data show about the UK government's budget position. Answers may include: The UK government is running a budget deficit [1] because total spending (£1,220 bn) exceeds total revenue (£1,090 bn), so net borrowing is £130 bn [1].	2 AO2	1 mark for identifying a deficit. 1 mark for supporting with data (either the figures or the difference).

Question	Answer	Mark	Guidance
22 (b)	Using Extract 2, calculate the UK's debt-to-GDP ratio. Show your working. Working: Debt-to-GDP ratio = (Public sector net debt / Nominal GDP) × 100 = (2,600 / 2,600) × 100 = 100% Answer: 100% (accept 1.0 or 100).	2 AO2	2 marks for the correct final answer (working not required). 1 mark for correct method with incorrect value. 1 mark only if the % sign is omitted.

Question	Answer	Mark	Guidance
22 (c)	Using the information in Extract 2, analyse how a rise in government spending on infrastructure could affect the UK's long-run productive potential. Knowledge and understanding: • infrastructure spending is a supply-side policy • long-run productive potential is shown by the LRAS curve • infrastructure raises productivity through better transport, energy, digital networks Reference to the extract: • targeted supply-side spending could raise long-run growth enough to lower the debt ratio • the UK faces a trade-off between taxing, cutting spending, and borrowing Development of reasoning: • infrastructure investment → lower transport costs for firms → lower unit costs → higher productivity • faster digital networks → enable more firms to access global markets → higher exports • crowding-in of private investment as infrastructure lowers private risk • multiplier effects raise short-run AD • LRAS shifts right → higher long-run real GDP capacity at a lower price level >> long-run productive potential increases if projects deliver strong returns.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks).

Question	Answer	Mark	Guidance
			Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
22 (d) (i)	Explain what is meant by ‘fiscal policy’. Government policy that uses changes in the level or composition of government spending and taxation [1] to influence aggregate demand, economic growth, inflation or the distribution of income [1]. Accept: - the use of the government budget to manage the economy - tax and spending decisions of the government	2 AO1b	1 mark for identifying tax / government spending. 1 mark for linking to an economic objective (managing AD, growth, etc.).

Question	Answer	Mark	Guidance
22 (d) (ii)	Other than infrastructure spending, state two fiscal policy measures a government could use to raise economic growth. - Cuts in income tax / corporation tax to raise disposable income and incentives - Increased government spending on education or training - R&D tax credits to encourage innovation - Investment subsidies / enterprise zones - Cuts in VAT or indirect taxes	2 AO1a	1 mark for each valid measure, up to 2 marks. Do not credit a repeat of infrastructure spending.

Question	Answer	Mark	Guidance
22 (d) (iii)*	Evaluate whether cutting UK government spending is the most appropriate way to reduce the national debt. Use the information given in Extract 2 and your own knowledge. Reference to Extract 2 or context: - public sector net debt ~£2.6 trillion (~100% of GDP) - annual debt interest £105 bn - trade-off between taxing, cutting spending, and borrowing Case for cutting spending: - directly reduces the deficit → slows growth of debt - strengthens bond-market credibility → lower interest rates on future borrowing - crowds in private investment - if cuts fall on less productive current spending, long-run damage is limited Case against cutting spending:	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach. Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and

Question	Answer	Mark	Guidance
	• reduces AD → lower growth, higher unemployment, possibly self-defeating (debt/GDP rises) • damages public services and long-run productivity • distributional effects — welfare cuts hit the poorest hardest • alternative: raise taxes (especially on high earners or wealth) without cutting services • alternative: pursue pro-growth supply-side policies to raise GDP denominator of debt/GDP Final judgement may consider: • macroeconomic conditions (cutting in a downturn is more costly) • composition of cuts (current vs capital spending) • historical comparison (post-WWII debt >200%) • political and social feasibility		logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (a)	Using Extract 3, explain the change in UK Bank Rate between 2021 and 2023. Answers may include: Bank Rate rose sharply between 2021 and 2023 [1] from 0.25% at end-2021 to 5.25% at end-2023 — a rise of 5 percentage points [1].	2 AO2	1 mark for identifying the rise. 1 mark for supporting with the data (figures or difference).

Question	Answer	Mark	Guidance
23 (b)	Using Extract 3, calculate the percentage change in the dollar value of one pound between 2021 and 2024. Show your working. Working: 2021 exchange rate: £1 = \$1.38 2024 exchange rate: £1 = \$1.27 % change = $(1.27 - 1.38) / 1.38 \times 100$ = $-0.11 / 1.38 \times 100 \approx -7.97\%$ Answer: -8.0% (accept answers between -7.9% and -8.0%, or 'fell by about 8%').	2 AO2	2 marks for a correct answer (working not required). 1 mark for correct method but incorrect value. Accept any reasonable rounding between -7.9% and -8.0%.

Question	Answer	Mark	Guidance
23 (c)	Using the information in Extract 3, analyse how a rise in UK interest rates could lead to an appreciation of sterling. Knowledge and understanding: - the exchange rate is determined by demand and supply of a currency in the foreign-exchange market - appreciation = rise in the external value of sterling - interest rate differentials attract short-term capital flows ('hot money') Reference to the extract: - Bank Rate rose from 0.1% to 5.25% between 2021 and 2023 - higher UK rates relative to overseas attract inflows of short-term capital Development of reasoning: - higher UK interest rates → higher return on UK financial assets (gilts, bank deposits) - overseas investors convert their own currency into sterling to buy UK assets → rise in demand for sterling - UK investors less likely to move funds abroad → lower supply of sterling in FX market - higher demand + lower supply → upward pressure on £ - effect reinforced by speculative buying if traders expect further rises >> sterling appreciates in the foreign-exchange market.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear

Question	Answer	Mark	Guidance
			chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (d) (i)	Explain what is meant by an ‘appreciation’ of a currency. A rise in the external value of a currency [1] so that one unit of the currency can be exchanged for more foreign currency [1]. Accept: - the pound becoming stronger in terms of the dollar / euro - a currency rising under a floating exchange-rate regime	2 AO1b	1 mark for identifying a rise in the external value of the currency. 1 mark for explaining this in terms of a foreign-currency comparison.

Question	Answer	Mark	Guidance
23 (d) (ii)	Other than controlling inflation, state two objectives of UK monetary policy. - Supporting economic growth / maintaining stable output - Supporting the government's employment objectives (subject to the inflation target) - Maintaining financial stability - Smoothing the exchange rate in the short run - Supporting the stability of the financial system	2 AO1a	1 mark for each valid objective, up to 2 marks. Do not credit a repeat of price stability.

Question	Answer	Mark	Guidance
23 (d) (iii)*	Evaluate the extent to which a sustained appreciation of sterling would harm the UK economy. Use the information given in Extract 3 and your own knowledge. Reference to Extract 3 or context: - the UK runs a persistent trade deficit in goods - higher UK interest rates pushed sterling upwards - UK services exports (including financial services) are a key strength Harms of an appreciation: - UK exports become more expensive in foreign markets → fall in export volumes and revenue - loss of competitiveness in manufacturing and export services - current account deficit could widen in the long run - UK-based producers may relocate production	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach.</i> <i>Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments /

Question	Answer	Mark	Guidance
	overseas Benefits / offsetting factors: • imports become cheaper → lower imported inflation → real income gains for consumers • lower cost of imported raw materials for UK firms → lower production costs • UK investors benefit when investing abroad • services exports (especially in finance) are less price-sensitive than goods Final judgement may consider: • size and persistence of the appreciation • elasticity of demand for UK exports and imports (Marshall–Lerner) • sectoral composition of UK trade (services vs goods) • the impact on UK inflation target vs competitiveness		both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

ASSESSMENT OBJECTIVE GRID (AO)

	AO1a	AO1b	AO2	AO3a	AO3b	Total	Quantitative skills
Section A (MCQs 1–20)	3	11	6			20	5
Question 21 (total)	3	2	7	5	3	20	4
Question 22 (total)	3	2	7	5	3	20	4
Question 23 (total)	3	2	7	5	3	20	4
Section B total	9	6	21	15	9	60	12
Paper total	12	17	27	15	9	80	17

END OF MARK SCHEME